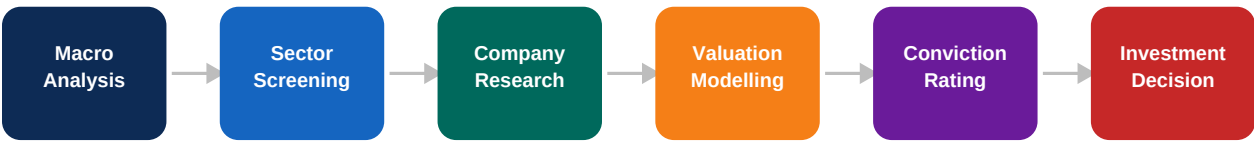


Market Analysis & Investment Research Guide

Finance Risk & Investment Intelligence System Doc
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This guide defines methodologies and frameworks used by portfolio managers and analysts to identify market trends, interpret economic indicators, evaluate sector performance, and construct evidence-based investment research for the FRIIS platform.

Investment Research Workflow



1. Market Trend Identification Signals

Trend identification combines technical, fundamental, and macro signals to form a directional view. Analysts must evaluate all of the following signal types before forming a market view:

Signal Type	Indicator	Bullish Signal	Bearish Signal	Relevance
Momentum	RSI (14-day)	RSI > 50 and rising	RSI < 50 and falling	Short-term entry/exit
Price Trend	200-day Moving Average	Price consistently above MA	Price below MA for 10+ days	Medium-term trend
Volume Confirmation	On-Balance Volume (OBV)	Rising OBV with rising price	OBV divergence from price	Trend conviction
Volatility Regime	VIX Index	VIX < 20 (risk-on)	VIX > 30 (risk-off)	Market sentiment
Credit Signal	IG vs HY spread	Spread tightening	Spread widening	Credit cycle position
Yield Curve	2Y–10Y Treasury spread	Normal or steepening	Inverted (< 0)	Recession indicator
Earnings Momentum	EPS Revision Ratio	More upgrades than downgrades	Majority EPS downgrades	Earnings cycle position

2. Economic Indicator Interpretation Framework

Macro indicators provide the top-down context for investment decisions. Each indicator must be interpreted in the context of the current economic cycle phase:

Indicator	Source	Key Threshold	Portfolio Implication	Freq.
GDP Growth Rate	World Bank / IMF	> 3% strong; < 1% weak	High: favour equities; Low: shift to bonds	Quarterly
CPI Inflation	National Statistics	< 2%: low; > 4%: high	High inflation: reduce duration; add real assets	Monthly
Unemployment Rate	BLS / ONS	< 4%: full employment	Low: positive for consumer discretionary stocks	Monthly
Manufacturing PMI	Markit / ISM	> 50: expansion	Above 55: add industrials and materials	Monthly
Consumer Confidence	Conference Board	> 100: positive	Rising: consumer discretionary positive	Monthly
Central Bank Policy Rate	Fed / ECB / RBI	Rising vs stable vs falling	Rising rates: reduce bond duration	As announced
Trade Balance	National Customs	Surplus vs deficit trend	Widening deficit: elevated FX risk	Monthly
Housing Starts	Census Bureau	Rising trend positive	Strong: positive for real estate & materials	Monthly

3. Sector Performance Evaluation Framework

Sector	Key Drivers	Primary Valuation Metric	Cycle Phase	Risk Sensitivity
Technology	AI adoption, cloud growth, R&D spend	P/E, EV/EBITDA, PEG ratio	Growth phase	High beta; rate-sensitive valuation
Financials	Interest rates, credit demand, loan growth	P/B, ROE, Net Interest Margin	Recovery / expansion	Credit cycle dependent
Energy	Oil/gas prices, ESG transition, capex	P/E, EBITDA, FCF yield	Mature / transition	Geopolitical & commodity risk
Healthcare	Demographics, R&D pipeline, drug pricing	R/D Pipeline Value (DCF)	Defensive / secular	Regulatory & patent cliff
Consumer Disc.	Consumer confidence, wage growth, retail sales	EV/Sales, P/E multiples	Expansion phase	GDP and employment sensitive
Utilities	Regulatory tariffs, interest rate environment	EV/EBITDA, Dividend yield	Defensive allocation	High interest rate sensitivity
Real Estate	Interest rates, occupancy, supply chain	P/E and Capitalisation Rate	Rate-sensitive	Duration & refinancing risk
Materials	Commodity prices, global industrial demand	EV/EBITDA, Price/Book	Early economic cycle	Raw commodity price exposure

4. Macro-Economic Scenario Analysis

Macro scenario analysis translates top-down economic views into portfolio positioning. The following four scenarios must be assessed and probability-weighted quarterly by each portfolio manager:

Scenario	Probability	GDP	Inflation	Rates	Portfolio Impact	Recommended Action
Soft Landing	35%	+2.5%	2.5%	Stable	Moderate equity gains	Maintain allocation
Strong Growth	20%	+4.0%	3.5%	Rising	Equity +20%; bonds lose	Reduce duration; add equity
Stagflation	20%	+0.5%	6.0%	Rising	Equity -15%; bonds -10%	Add real assets & commodities
Mild Recession	20%	-1.0%	1.5%	Falling	Equity -25%; bonds rally	Add defensives and bonds
Severe Recession	5%	-4.0%	0.0%	Emergency	Equity -40%; credit blows out	Cash, gold, defensives only

5. Investment Research Methodologies

- **Fundamental Analysis:** Evaluate financial statements (P&L, balance sheet, cash flow), earnings quality, competitive moat, and management track record.
- **Quantitative Factor Models:** Apply multi-factor models (value, momentum, quality, size, low volatility) to rank and screen the full investment universe.
- **Technical Analysis:** Use chart patterns (head & shoulders, breakouts), moving averages, and momentum oscillators for entry and exit timing.
- **Sentiment & Flow Analysis:** Monitor analyst rating revisions, institutional fund flows, insider transactions, and news sentiment scoring.
- **ESG Integration:** Incorporate ESG scores (environmental impact, governance quality, social practices) as a risk adjustment and investment filter.
- **DCF Valuation:** Build discounted cash flow models with sensitivity analysis on WACC and terminal growth rate assumptions.
- **Relative Valuation:** Compare multiples (P/E, EV/EBITDA, P/B) against sector peers, historical averages, and global comparables.

6. Research Output Standards & Conviction Rating System

Rating	Score	Meaning	Required Evidence	Action
Strong Buy	5/5	High conviction; significant upside	Full fundamental + quant + macro alignment	Overweight position
Buy	4/5	Positive outlook; moderate upside	2-3 methodologies align positively	Add to position
Hold	3/5	Neutral; limited near-term catalyst	Mixed or conflicting signals	Maintain current weight
Reduce	2/5	Negative trend forming; risk rising	Risk score rising; fundamentals weaker	Reduce position size
Sell / Avoid	1/5	High conviction bearish or risk multiple	Multiple negative signals; breach triggered	Exit or avoid entirely

■ Synthetic data for educational simulation only. Not real market research or investment advice.

7. ESG & Sustainable Investment Research Standards

ESG analysis is an integral part of the investment research process. All proposals must include an ESG assessment using the following scoring framework:

ESG Pillar	Key Factors	Data Source	Score Range	Min Required
Environmental (E)	Carbon emissions, energy use, water usage, waste	MSCI ESG, Sustainalytics	0-100	40/100 for ESG funds
Social (S)	Labour practices, community impact, supply chain	S&P ESG, Bloomberg	0-100	35/100 all portfolios
Governance (G)	Board composition, exec pay, audit, transparency	Company filings, proxy	0-100	50/100 minimum
Composite ESG Score	Weighted: E=30%, S=30%, G=40%	Combined sources	0-100	45/100 new investments
ESG Controversy Score	Adverse news, regulatory incidents	RepRisk, MSCI	0-10 (lower better)	Score above 7 = review

8. Research Documentation & Approval Requirements

All investment research must be formally documented and approved before it can support an investment decision. The following documentation standards apply:

Research Type	Required Components	Approver	Retention
Equity Research Note	Investment thesis, valuation, risks, catalysts, conclusions	Portfolio Manager or Risk Officer	5 years
Fixed Income Credit Brief	Issuer profile, financials, credit rating trend, coverage	Credit Analyst + PM	7 years
Macro Strategy Update	Scenario probabilities, asset class implications, positioning	Investment Committee	3 years
ESG Due Diligence Report	ESG scores, controversies, engagement history, conclusions	ESG Analyst + PM	5 years
Sector Initiation Report	Full sector framework, peer comparison, top picks, risks	Head of Research	5 years